



BROWN-FORMAN

Strategic Alternatives Review

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Meet the Team



Our WSB Bank M&A team combines years of industry-leading project experience



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Agenda



- I. Executive Summary**
- II. Industry Overview**
- III. Brown-Forman Overview**
- IV. Valuation**
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 - III. LBO**
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Executive Summary



Industry Overview

- ❑ The global spirits industry is supported by strong brand loyalty, premium pricing power, and rising demand for premium spirits.
- ❑ Global leaders such as Diageo, Pernod Ricard, and Brown-Forman benefit from extensive distribution networks and premiumization trends.

Company Overview

- ❑ Brown-Forman is a leading global spirits company with a premium brand portfolio including Jack Daniel's, Woodford Reserve, and Herradura.
- ❑ Strong margins and global distribution position the company to benefit from continued premium spirits demand and international growth.

Valuation

- ❑ Trading comparables, discounted cash flow, and leveraged buyout models show weaker valuation estimates to current price, representing potential for upside from intrinsic valuation
- ❑ Precedent transactions illustrate share price premium potential of 11.0% - 38.0%

Recommendation

- ❑ Opportunity to combine Pernod's global reach and diversified portfolio with Brown-Forman's premium American whiskey portfolio, driving future growth
- ❑ BF.B investors receive partial cash exit, while retaining upside optionality through value-creating combination



Industry and Company Overview

Growth Drivers, Opportunities, and Risks



Global Spirits Industry Overview



Industry Description

Global spirits market valued at around \$500 - 550 bn and projected to grow at a 5% – 6% CAGR through 2033

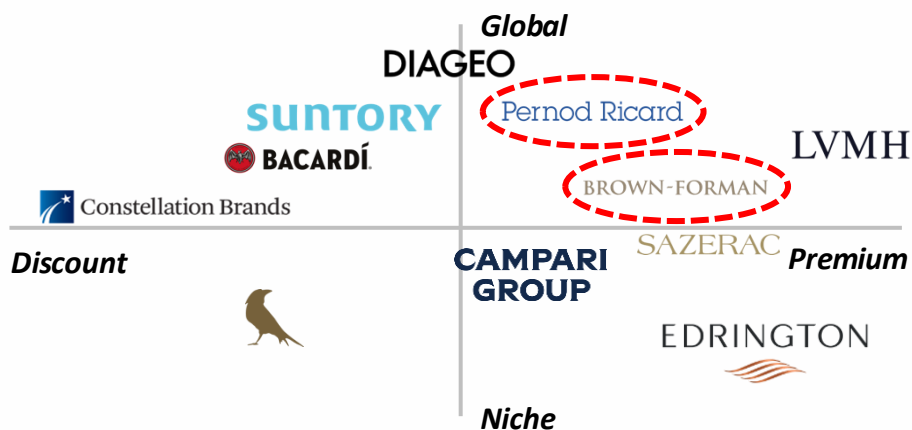
- ❑ Comprises the production, distillation, wholesale distribution, and retail marketing of alcohol spirits
- ❑ Large multinational producers dominate production, distribution, and marketing
- ❑ Craft and artisan brands experiencing growing appeal
- ❑ Market characterized by strong brand loyalty and premium, albeit weakening, pricing power

Industry Drivers

Winners defined by successful expansion of global distribution networks and premium positioning

- ❑ Rising disposable income **supporting premium and high-end alcohol** spending domestically
- ❑ High single-digits growth in emerging markets, with **strong demand for American brands internationally**
- ❑ Growth supported by **demand for ready-to-drink beverages** among younger drinkers
- ❑ Secular health trends and emerging **substitutes threaten growth in developed markets**

Leading Global Spirits Producers



Recent M&A Activity

Premium spirits brands have historically commanded strong valuation multiples:

Target	Acquiror	Value	Multiple
Patrón	Bacardi	\$5 bn	25.5x EBITDA
Beam Inc.	Suntory	\$16 bn	19.8x EBITDA
Aviation	Diageo	\$600 mm	8.0x Sales
Casamigos	Diageo	\$1 bn	20.0x Sales

Sources: Brown-Forman 10-K, IBISWorld, Fortune Business Insights, Forbes, Reuters



Brown-Forman Overview



Company Overview

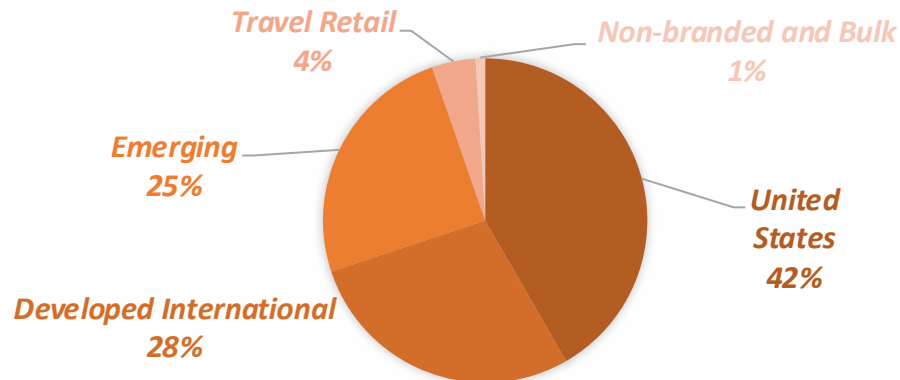
- ❑ **Headquartered:** Louisville, Kentucky
- ❑ **Founded:** 1870
- ❑ **Industry:** Premium Spirits & Alcohol
- ❑ **Current Market Cap:** \$14 bn
- ❑ Products sold in ~170 countries with ~5,400 employees worldwide
- ❑ Leading industry producer of American whiskey
- ❑ Brown family controls >50% of voting stock

Key Management

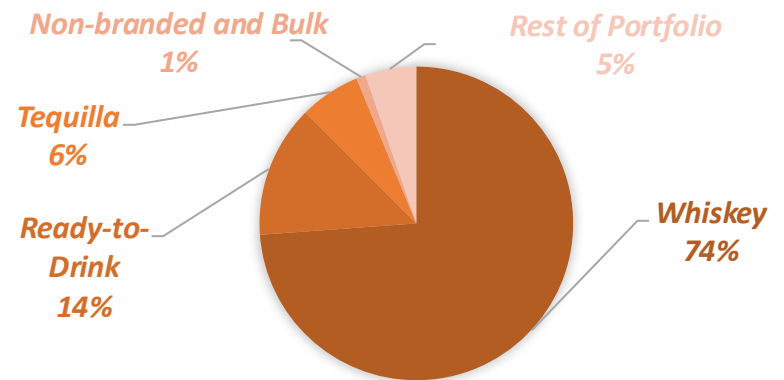
- ❑ **Lawson Whiting**, *President & CEO*
- ❑ **Jim Peters**, *Chief Financial Officer*
- ❑ **Chris Graven**, *Chief Strategy Officer*
- ❑ **Michael Masick**, *President - Americas*
- ❑ **Yiannis Pafilis**, *President - Europe, Africa, Asia Pacific*

Revenue Segmentation

FY 2026 NET SALES BY GEOGRAPHY



FY 2026 NET SALES BY PRODUCT CATEGORY



Sources: Brown-Forman 10-K, IBISWorld, Fortune Business Insights, Forbes, Reuters



Brown-Forman SWOT



Strengths

- ❑ Globally-recognized **Jack Daniel's brand**, one of the best-selling American whiskeys worldwide
- ❑ Extensive **premium brand positioning** (incl. Old Forester, Woodford Reserve, Herradura) supports pricing power and strong margins vs. peers
- ❑ **Strong brand equity and consumer loyalty** fostered by legacy heritage (est. 1870) and family ownership
- ❑ **Global distribution positioning** enables capture of global growth tailwinds for American whiskey brands

Opportunities

- ❑ Growing **global demand for premium spirits** driven by **increased consumer incomes**
- ❑ Expansion into **high-growth emerging markets**
- ❑ **Product innovation and ready-to-drink (RTD)** offerings targeting younger consumers
- ❑ **International interest in American whiskey** and global premiumization support key brand growth
- ❑ Premiumization and elevated consumer tastes present **diversification potential for tequila portfolio**

Weaknesses

- ❑ **Concentration to American whiskey category**, specifically with *Jack Daniel's* brand, amplifying risk to changing consumer tastes
- ❑ **Narrower brand portfolio and weaker EM positioning** vs. larger peers Diageo and Pernod Ricard limits competitiveness in key international growth markets
- ❑ **Sensitivity to commodity costs** and inherent supply constraints (e.g. aging whiskey inventory) enhances exposure to inflation and tariff risks

Threats

- ❑ **Competition with Diageo and Pernod Ricard** for international premium spirits risks margin compression
- ❑ **Trade frictions dampen foreign demand** for critical American whiskey category, restricting growth
- ❑ Tequila segment weakness due to **increased US competition** and **stagnant MX economy**
- ❑ **Secular decline**, driven by shifting tastes and health preferences, GLP-1s, and deregulation of THC

Sources: Brown-Forman Form 10-K, Brown-Forman Integrated Annual Report, Brown-Forman Investor Relations, IBISWorld Global Spirits Industry Report, Fortune Business Insights Global Spirits Market Report, Reuters, Forbes.

Brown-Forman Drivers Summary



Key Growth Tailwinds

- ❑ Rising global demand for premium spirits globally, particularly the American whiskey category
- ❑ Expansion into high-growth emerging markets
- ❑ Innovation in ready-to-drink products to drive demand with next-generation consumers

Growth Headwinds

- ❑ Regulatory and trade headwinds threaten rate global expansion and adoption of BF products
- ❑ Narrower brand portfolio and reliance on whiskey
- ❑ Limited geographic reach compared to international peers' limits EM upside potential

Historical and Projected Financials

\$mm unless otherwise noted		Fiscal Year Ending April 30,							
	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E
Reported net sales	4,228	4,178	3,975	3,915	3,996	4,123	4,225	4,318	4,402
% growth		-1.2%	-4.9%	-1.5%	2.1%	3.2%	2.5%	2.2%	1.9%
Gross profit	2,494	2,526	2,343	2,349	2,338	2,432	2,514	2,591	2,641
% margin	59.0%	60.5%	58.9%	60.0%	58.5%	59.0%	59.5%	60.0%	60.0%
EBIT	1,127	1,147	1,167	1,155	1,119	1,175	1,225	1,274	1,298
% margin	26.7%	27.5%	29.4%	29.5%	28.0%	28.5%	29.0%	29.5%	29.5%
EBITDA	1,207	1,234	1,254	1,228	1,193	1,251	1,302	1,351	1,376
% margin	28.5%	29.5%	31.5%	31.4%	29.9%	30.3%	30.8%	31.3%	31.3%
CapEx	183	228	167	115	120	103	84	86	79
as % net sales	4.3%	5.5%	4.2%	2.9%	3.0%	2.5%	2.0%	2.0%	1.8%
OWC		2,759	2,862	2,833	2,957	3,028	3,080	3,125	3,186
as % net sales		66.0%	72.0%	72.4%	74.0%	73.5%	72.9%	72.4%	72.4%
Unlevered Free Cash Flow		633	813	717	694	812	887	929	939

Projected Financial Outlook

- ❑ 1.7% CAGR Revenue Growth
- ❑ ~60% Gross Margin
- ❑ 30-31% EBITDA Margin
- ❑ Reduced CapEx due to industry maturity
- ❑ OWC in-line with FY25
- ❑ Stable FCF Generation

Historically strong operating margins driven by premium positioning and pricing power

Growth supported by premiumization, EM growth, and RTD demand; Offset by secular decline, tariffs, and limited global scale

Sources: Brown-Forman Form 10-K; Brown-Forman Integrated Annual Report; Reuters; Fortune Business Insights; Grand View Research; The Spirits Business



Valuation

Valuation Methodologies and Implied Value



Weighted Average Cost of Capital



Based on comparable companies, Brown-Forman's target D/E ratio is 48.79%, leading to a WACC of 7.51%

Discount Rate	
Risk Free Rate	4.88%
Equity Risk Premium	5.00%
Beta	0.843
Ke (cost of equity)	9.09%
Credit rating	A-
Credit spread over risk free rate	0.68%
Cost of debt	5.56%
Marginal Tax Rate	23.50%
Kd (after tax cost of debt)	4.25%
Target debt/equity	48.79%
% debt	32.79%
% equity	67.21%
WACC	7.51%

Based on current 20-year U.S. Treasury bond rate of 4.88%

Equity Risk Premium per Kroll, reaffirmed March 2026 @ 5.0%

Utilized 'A' rating OAS (FRED), better proxy vs. conservative BBB credit spread

Target cap. structure est. at avg. of peer comparables

Lower WACC supported by mature industry, stable cash flows, strong brand, investment grade credit risk, and lower perceived operating risk

Sources: Kroll Cost of Capital Assumptions March 2026 Update



Discounted Cash Flow Valuation



Discounted Cash Flow Analysis						
<i>\$mm unless otherwise noted</i>						
	Q4 2026E	2027E	2028E	2029E	2030E	2031E
Free Cash Flow Calculation						
EBIT	250	1,119	1,175	1,225	1,274	1,298
Taxes	59	263	276	288	299	305
Tax Rate	23.5%	23.5%	23.5%	23.5%	23.5%	23.5%
EBIAT (NOPAT)	191	856	899	937	974	993
D&A	5	74	76	77	77	77
CAPEX	(34)	(120)	(103)	(84)	(86)	(79)
Change in OWC	29	(124)	(71)	(52)	(45)	(61)
Unlevered Free Cash Flow	274	694	812	887	929	939
Sales growth	(1.5%)	2.1%	3.2%	2.5%	2.2%	1.9%
EBIT margin	27.8%	28.0%	28.5%	29.0%	29.5%	29.5%
EBITDA margin	28.3%	29.9%	30.3%	30.8%	31.3%	31.3%
OWC % of sales	72.4%	74.0%	73.5%	72.9%	72.4%	72.4%
PPE % of sales	54.1%	54.2%	53.2%	52.1%	51.2%	50.2%
Capex % of sales	3.8%	3.0%	2.5%	2.0%	2.0%	1.8%
Replenishment ratio	7.3x	1.6x	1.4x	1.1x	1.1x	1.0x
Reinvestment rate	-43.1%	18.9%	9.7%	5.3%	4.6%	5.5%

Implied Share Price Calculation	
Total present value of free cash flows	2,977
Present value of terminal value	11,549
Implied Enterprise Value	14,526
2024A EBITDA	1,254
Implied 2024A EBITDA multiple	11.6x
2025E EBITDA	1,228
Implied 2025E EBITDA multiple	11.8x
Cash & cash equivalents	383
ST investments	0
LT investments	0
Total debt	2,745
Preferred Stock	0
Non-controlling interest	0
Implied Equity Value	12,164
Basic shares outstanding	459
Fully diluted shares outstanding	460
Implied share price	\$26.47
Current share price	\$29.26
Premium / (discount) to current share	(9.5%)

Implied Share Price				
	LT Growth Rate			
	1.4%	1.9%	2.4%	
Discount Rate	7.4%	\$24.84	\$27.11	\$29.82
	7.6%	\$23.83	\$25.93	\$28.43
	7.8%	\$22.89	\$24.83	\$27.14
	8.0%	\$22.00	\$23.81	\$25.95
	8.2%	\$21.17	\$22.85	\$24.83

Implied 2025E EBITDA multiple				
	LT Growth Rate			
	1.4%	1.9%	2.4%	
Discount Rate	7.4%	11.2x	12.1x	13.1x
	7.6%	10.8x	11.6x	12.6x
	7.8%	10.5x	11.2x	12.1x
	8.0%	10.2x	10.8x	11.6x
	8.2%	9.8x	10.5x	11.2x

Based on a LT growth rate of 1.9% and a discount rate of 7.6% to 8.0%, Brown-Forman is valued between \$22.00 and \$28.43

Based on a LT growth rate of 1.9% and a discount rate of 7.6% to 8.0%, Brown-Forman I valued between 10.2x and 12.6x Implied EV/ 2025 EBITDA



Synergies Valuation and Analysis



Combined synergies support \$6.27 per share of additional value to BF.B shareholders

Defensive Synergies:

- ❑ **SG&A:** elimination of duplicative corporate functions, overlapping management layers, and redundant public company costs
- ❑ **Distribution and logistics:** consolidation of overlapping distribution infrastructure across Americas and developed international markets
- ❑ **Procurement:** shared supplier contracts and purchasing scale across combined entity

Offensive Synergies:

- ❑ **Revenue synergies** represent additional upside from leveraging Pernod's international distribution network and focus on emerging markets in Europe and Asia.
 - ❑ Of note, Brown-Forman **recently rejected a merger offer from Sazerac** at ~\$200 run-rate synergies implying higher synergies in Pernod's offer.

NPV of Synergies

\$mm unless otherwise noted

	Year 1	Year 2	Year 3	Year 4	Year 5
Target unaffected market cap	\$13,446				
Target equity purchase price	16,327				
Total premium paid	2,881				
WACC	7.5%				
Risk premium	2.0%				
Discount rate	9.5%				
Growth	1.9%				
Pre-tax synergies	\$78	\$155	\$310	\$316	\$322
MTB	23.5%	23.5%	23.5%	23.5%	23.5%
Post-tax synergies	59	119	237	242	246
Terminal value	3,299				
Mid-year discounting model	0.5	1.5	2.5	3.5	4.5
Discount factor	95.6%	87.3%	79.7%	72.8%	66.5%
PV of synergies	\$57	\$103	\$189	\$176	\$164
Sum of PV of synergies	689				
Present value of terminal value	2,192				
Total PV of synergies	\$2,881				
Less: premium paid	2,881				
Value created / destroyed	\$0				
Synergies / target share	\$6.27				

At 21.0% premium (\$6.27/share), Pernod pays a premium approximately equal to the full PV of synergies (\$2,881 mm) — representing the maximum price Pernod can pay without destroying value

Run rate cost synergies (\$200) based on Pernod / V&S €125 - €150 run-rate synergies as precedent. Revenue synergies based on % of BF international sales (\$110)



Trading Comparables Valuation



Company	Current Share Price (\$)	% of 52-Week High	Market Cap (\$M)	Enterprise Value (\$M)	Enterprise Value (EV)		2026E EBITDA Margin	Est. EBITDA Growth %	3-Year Ave. ROC %
					LTM EBITDA	NTM EBITDA			
Diageo plc	\$ 19.03	64.4%	42,310	66,261	10.71	10.52	32.5%	3.4%	11.1%
Pernod Ricard SA	\$ 77.01	62.2%	19,382	33,506	9.91	9.91	30.6%	1.9%	6.7%
Constellation Brands, Inc.	\$152.09	77.2%	26,370	37,171	10.97	10.82	38.6%	3.2%	9.3%
Molson Coors Beverage Company	\$ 41.90	66.0%	7,892	13,524	5.72	6.39	19.0%	1.3%	5.5%
Heineken N.V.	\$ 79.34	84.3%	44,123	63,874	9.86	7.86	22.5%	3.5%	5.9%
Anheuser-Busch InBev SA/NV	\$ 71.07	89.6%	138,636	209,134	10.77	9.05	36.3%	5.6%	5.7%
Rémy Cointreau SA	\$ 41.96	58.4%	2,197	2,989	11.98	11.95	22.2%	7.9%	8.3%
Davide Campari-Milano N.V.	\$ 6.95	88.3%	8,332	10,620	12.06	11.68	25.3%	6.9%	6.5%
Brown-Forman Corporation	\$ 22.94	63.4%	10,523	12,885	10.66	10.89	30.4%	3.9%	11.6%

Summary Statistics (ex-Target)

Low	5.72	6.39	19.0%	1.3%	5.5%
Mean	10.25	9.77	28.4%	4.2%	7.4%
Median	10.74	10.21	28.0%	3.4%	6.6%
High	12.06	11.95	38.6%	7.9%	11.1%

Implied BF.B Enterprise Value Range:	EV/NTM EBITDA	Implied Enterprise Value
High (Subset)	12.0x	\$ 14,136
Low (Subset)	9.9x	\$ 11,723

Subset group includes Diageo, Pernod Ricard, Constellation Brands, Remy Cointreau, and Davide Campari Milano

Implied BF.B Share Price Range:	EV/NTM EBITDA	Implied Share Price
High (Subset)	12.0x	\$ 24.86
Low (Subset)	9.9x	\$ 19.77

Brown-Forman's positioning supports valuation in line with this subset group which gives us an implied share price between \$19.77 and \$24.86



Precedent Transactions Valuation



Precedent Transactions - Vinters and Distillers

Date Announced	Date Closed	Acquirer	Target	Equity Value	Enterprise Value	Premium Paid	LTM EBITDA
Jan 22nd 2018	April 18th 2018	Bacardi	Patron	N/A	5,100	N/A	25.5x
July 13 2008	November 18th 2008	InBev SA/NV	Anheuser-Busch Cos Inc	52,000	60,000	35.0%	15.5x
Jan 13th 2014	April 30th 2014	Suntory Holdings Ltd	Beam Suntory Inc	13,866	15,747	25.0%	19.8x
October 7th 2024	Pending	Butterfly Equity LLC	Duckhorn Portfolio Inc/The	N/A	1,950	N/A	14.1x
March 30th 2008	July 23rd 2008	Pernod Ricard	V&S Vin & Sprit	8,347	8,914	N/A	21.2x

Implied BF Enterprise Value Range	EV/LTM EBITDA	Implied Enterprise Value
High	25.5x	\$30,166
Mean	19.2x	\$22,734
Median	19.8x	\$23,423
Low	14.1x	\$16,692

Based on precedent transaction analysis Brown Forman would be valued at an EV/EBITDA multiple between 14.1x and 25.5x

Footnotes – Suntory Holdings and Pernod Ricard data was found on Capital IQ Plus , Bacardi deal, valued at 5.1 billion, data found from a Forbes article as well as a Reuters article which gave an expected multiple from analysts Butterfly Equity and Anheuser Busch data was found from the Bbomsburg terminal



Leveraged Buyout Valuation



Given a modest price premium of 15.0% - 20.0% and a LTM EV / EBITDA multiple of 10x - 15x, an LBO of BF yields an IRR of just -2.3% to 8.3%, insufficient for PE sponsors

Target IRR Analysis

Target IRR	18.0%
Exit Multiple Assumption	15.0x
Exit Year	5.0
Exit Year LTM EBITDA	1,351
Exit Enterprise Value	20,262
Less: Net debt at Year 5	(1,934)

Exit Equity Value 18,328

Sponsor Portion 95.0%

Sponsor Equity Value at Exit 17,411

Required Sponsor Equity at Entry 7,611

+ / - Other sources & uses 3,794

Implied Equity Purchase Price 11,405

Plus: Net Debt 3,128

Entry Enterprise Value 14,533

Implied 2024A (LTM) EBITDA Entry Multiple 11.6x

Implied Entry Share Price \$24.82

Current Share Price \$29.26

Implied Premium to Current Share Price -15.2%

Deal IRR

Exit Multiple	Premium Paid					
		5.0%	10.0%	15.0%	20.0%	25.0%
	5.0x	-15.0%	-16.1%	-17.1%	-18.0%	-18.9%
	10.0x	1.3%	0.0%	-1.2%	-2.3%	-3.3%
	15.0x	11.0%	9.6%	8.3%	7.1%	6.0%
	20.0x	18.2%	16.7%	15.3%	14.1%	12.9%
	25.0x	24.0%	22.4%	21.0%	19.6%	18.4%

Implied Entry Share Price

Exit Multiple	Target IRR					
		16.0%	17.0%	18.0%	19.0%	20.0%
	5.0x	\$13.00	\$12.80	\$12.61	\$12.43	\$12.26
	10.0x	\$19.65	\$19.17	\$18.71	\$18.28	\$17.87
	15.0x	\$26.29	\$25.54	\$24.82	\$24.13	\$23.48
	20.0x	\$32.94	\$31.91	\$30.92	\$29.98	\$29.09
	25.0x	\$39.59	\$38.27	\$37.02	\$35.83	\$34.70

Implied Premium to Current Share Price

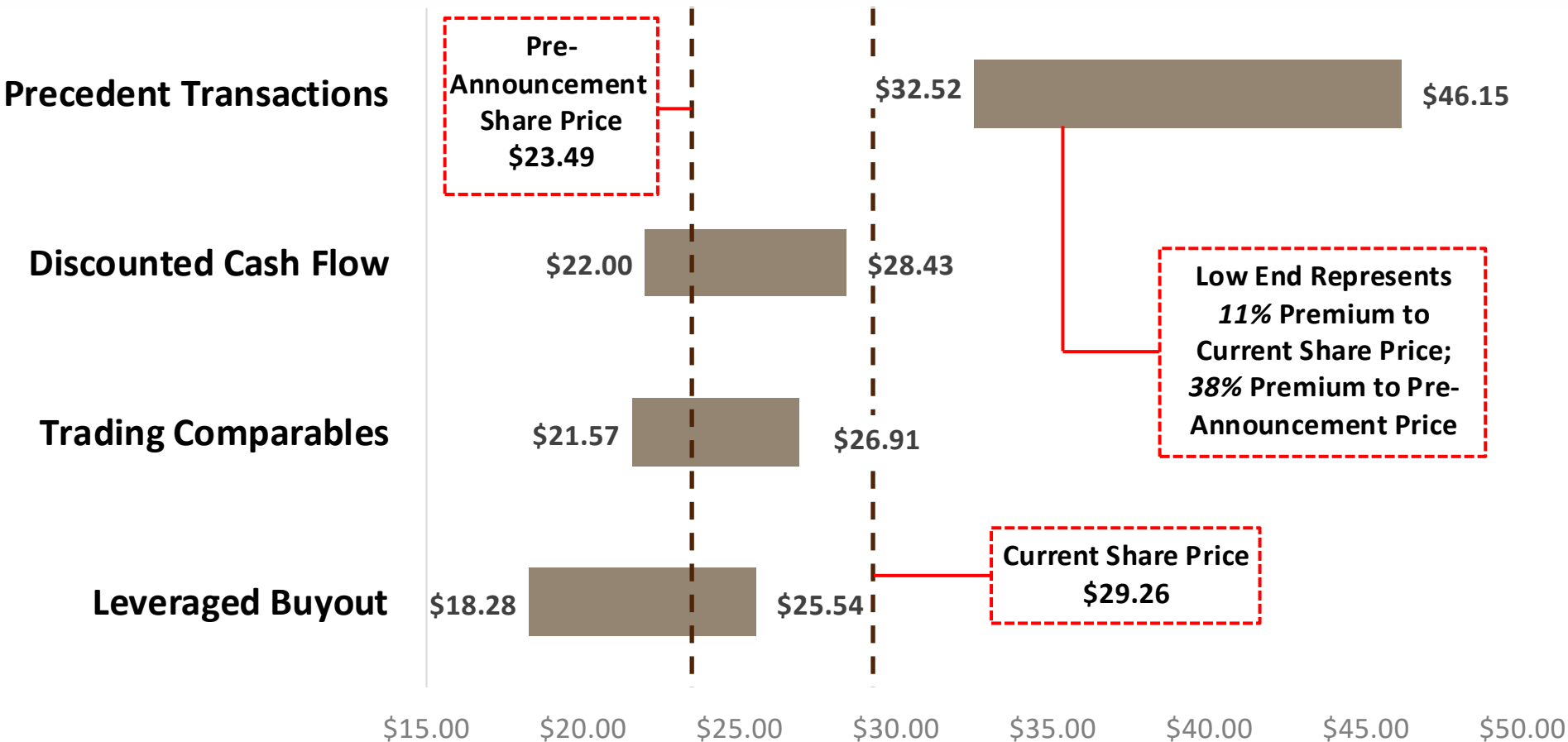
		Target IRR				
		16.0%	17.0%	18.0%	19.0%	20.0%
Exit Multiple	5.0x	-55.6%	-56.3%	-56.9%	-57.5%	-58.1%
	10.0x	-32.9%	-34.5%	-36.0%	-37.5%	-38.9%
	15.0x	-10.1%	-12.7%	-15.2%	-17.5%	-19.7%
	20.0x	12.6%	9.0%	5.7%	2.5%	-0.6%
	25.0x	35.3%	30.8%	26.5%	22.5%	18.6%



Football Field Summary



Pernod Ricard transaction represents a value realization opportunity above current market price and value estimates, with potential for a price premium of 11% – 38%



M&A Analysis (100% Stock)



At maximum offer price, 100% stock financing implies meaningful ownership dilution for Pernod shareholders

Deal Summary		2026E	2027E
Pernod Ricard Share Price	\$75.56	EPS Acc/Dil %	-8.7%
Offer Share Price	\$35.53	Plus: Additional Breakeven Synergies	\$368
Offer Premium	21.4%	Synergies % Combo Sales	2.0%
Equity Purchase Price	16,327		
Acquisition EV	18,689	Pernod Ricard EV / Fwd EBITDA	9.5x
		Brown-Forman EV / Fwd EBITDA	15.2x
% Cash Financing	1.1%	Brown-Forman unaffected P/E	13.9x
% Debt Financing	0.0%	Acquisition P/E	16.8x
% Stock Financing	98.9%	Buyer P/E	11.0x
		Debt P/E	25.4x
Exchange Ratio	0.47x		
Cash per share	\$0.00	% Acquirer Ownership	53.9%

Contribution Analysis			
\$MM unless otherwise noted			
	NET INCOME		
	2025A	2026E	2027E
Pernod Ricard	1,663	1,736	1,792
% contribution	68.9%	59.0%	56.9%
Brown-Forman	749	970	1,121
% contribution	31.1%	32.9%	35.6%
Synergies	0	237	237
% contribution	0.0%	8.1%	7.5%
Pro Forma Combined	2,412	2,943	3,150

100% Stock is Unrealistic:

- **Brown Family Governance:** becomes one of Pernod's largest shareholders, representing significant governance overhang
- **Pernod Trading at ~62% of 52-Week High:** equity issuance at depressed prices maximizes dilution to existing holders.
 - **Tariff headwinds + Middle East conflict**– realized volatility
- **EPS Breakeven Pushed Out:** larger share count requires more synergy realization before accretion turns positive
- **Exchange Ratio Risk:** BF shareholders bear Pernod stock price risk between signing and close

BF shareholders receive 46.1% ownership vs. 31% – 36% net income contribution: stock deal at max price undercompensates BF on an earnings basis

Pro-forma EPS diluted by 8.7% and 5.3% upon synergy ramp

M&A Analysis (Optimal Financing)



59% stock / 39% debt / 1% cash financing balances accretion timeline, leverage constraints, & aligns with pro-forma contribution

Deal Summary		2026E	2027E
Pernod Ricard Share Price	\$75.56	EPS Acc/Dil % 2.1%	6.6%
Offer Share Price	\$35.53	Plus: Additional Breakeven Synergies \$0	\$0
Offer Premium	21.4%	Synergies % Combo Sales 2.0%	2.0%
Equity Purchase Price	16,327		
Acquisition EV	18,689	Pernod Ricard EV / Fwd EBITDA 9.5x	9.4x
		Brown-Forman EV / Fwd EBITDA 15.2x	15.7x
% Cash Financing	1.1%	Brown-Forman unaffected P/E 13.9x	12.0x
% Debt Financing	39.5%	Acquisition P/E 16.8x	14.6x
% Stock Financing	59.3%	Buyer P/E 11.0x	10.7x
		Debt P/E 25.4x	25.4x
Exchange Ratio	0.28x		
Cash per share	\$14.21	% Acquirer Ownership 66.1%	

Deal is 2.1% accretive in 2026E and 6.6% in 2027E as \$119 of post-tax synergies are realized

Credit Impact	
	Pro Forma Q2 2026
Cash and Financial Assets	3,011.7
Financial Debt	25,246.2
Total Debt	25,246.2
Net Debt	22,234.6
Total Debt / LTM EBITDA	5.4x
Net Debt / LTM EBITDA	4.8x

Debt at 39% keeps multiple within optimal of 3x—5x Net Debt / LTM EBITDA

Contribution Analysis			
\$MM unless otherwise noted			
	NET INCOME		
	2025A	2026E	2027E
Pernod Ricard	1,663	1,736	1,792
% contribution	68.9%	59.0%	56.9%
Brown-Forman	749	970	1,121
% contribution	31.1%	32.9%	35.6%
Synergies	0	237	237
% contribution	0.0%	8.1%	7.5%
Pro Forma Combined	2,412	2,943	3,150

BF shareholders receive 34.1% ownership of combined entity vs. 31% – 36% net income contribution – ownership stake broadly in line with NI contribution

Recommendation



Brown-Forman should merge with Pernod Ricard at \$33—\$36 per share

Football Field Valuation: Upside Potential

- ❑ Standalone value of \$19 to \$27 per share plus ~\$6 per share in present value of synergies from a strategic sale to Pernod Ricard.
- ❑ BF current stock price: \$29.26 (4/12/2026)

Upside from Combined Enterprise

- ❑ Brown-Forman investors receive a stake in the combined firm, gaining geographic reach through Pernod's global distribution network to meet growing international demand for American whiskey.

Brown Family Partial Cash Exit

- ❑ Illiquid equity position amid growing geopolitical risk to American whiskey, struggling tequila diversification, and secular demand pressures.

Pernod Optimal Partner Over Sazerac

- ❑ Sazerac's offer of ~\$32/share reflects standalone value with only cost synergies.



Appendix

Comprehensive Valuation Methodologies and Model Outputs



Appendix – Trading Comparables



	Current Share Price (\$)	% of 52-Week High	Market Cap (\$M)	Enterprise Value (\$M)	Enterprise Value (EV)		2026E	Est.		Price				
					LTM	NTM	EBITDA	EBITDA	3-Year Ave.	LTM	NTM	Est. EPS	3-Year Ave.	Net Debt /
Company					EBITDA	EBITDA	Margin	Growth %	ROC %	EPS	EPS	Growth %	ROE %	LTM EBITDA
Diageo plc	\$ 19.03	64.4%	42,310	66,261	10.71	10.52	32.5%	3.4%	11.1%	14.38	11.77	6.0%	31.2%	3.57
Pernod Ricard SA	\$ 77.01	62.2%	19,382	33,506	9.91	9.91	30.6%	1.9%	6.7%	13.00	11.15	4.7%	11.0%	3.89
Constellation Brands, Inc.	\$152.09	77.2%	26,370	37,171	10.97	10.82	38.6%	3.2%	9.3%	17.24	13.02	5.1%	6.0%	3.09
Molson Coors Beverage Company	\$ 41.90	66.0%	7,892	13,524	5.72	6.39	19.0%	1.3%	5.5%	8.75	8.84	4.0%	-0.8%	2.25
Heineken N.V.	\$ 79.34	84.3%	44,123	63,874	9.86	7.86	22.5%	3.5%	5.9%	20.22	12.95	8.4%	8.6%	2.63
Anheuser-Busch InBev SA/NV	\$ 71.07	89.6%	138,636	209,134	10.77	9.05	36.3%	5.6%	5.7%	25.17	16.65	7.4%	8.4%	3.16
Rémy Cointreau SA	\$ 41.96	58.4%	2,197	2,989	11.98	11.95	22.2%	7.9%	8.3%	21.96	21.43	12.2%	11.3%	3.23
Davide Campari-Milano N.V.	\$ 6.95	88.3%	8,332	10,620	12.06	11.68	25.3%	6.9%	6.5%	21.16	18.43	10.9%	8.7%	2.65
Brown-Forman Corporation	\$ 22.94	63.4%	10,523	12,885	10.66	10.89	30.4%	3.9%	11.6%	16.49	13.52	4.5%	26.5%	1.95
				Summary Statistics (ex-Target)										
				Low	5.72	6.39	19.0%	1.3%	5.5%	8.75	8.84	4.0%	-0.8%	2.25
				Mean	10.25	9.77	28.4%	4.2%	7.4%	17.73	14.28	7.3%	10.6%	3.06
				Median	10.74	10.21	28.0%	3.4%	6.6%	18.73	12.99	6.7%	8.7%	3.12
				High	12.06	11.95	38.6%	7.9%	11.1%	25.17	21.43	12.2%	31.2%	3.89



Appendix – Precedent Transactions



Precedent Transactions - Vinters and Distillers							
Date Announced	Date Closed	Acquirer	Target	Equity Value	Enterprise Value	Premium Paid	LTM EBITDA
Jan 22nd 2018	April 18th 2018	Bacardi	Patron	N/A	5,100	N/A	25.5x
July 13 2008	November 18th 2008	InBev SA/NV	Anheuser-Busch Cos Inc	52,000	60,000	35%	15.5x
Jan 13th 2014	April 30th 2014	Suntory Holdings Ltd	Beam Suntory Inc	13,866	15,747	25%	19.8x
October 7th 2024	Pending	Butterfly Equity LLC	Duckhorn Portfolio Inc/The	N/A	1,950	N/A	14.1x
March 30th 2008	July 23rd 2008	Pernod Ricard	V&S Vin & Sprit	8,347	8,914	N/A	21.2x

Date Announced	Date Closed	Acquirer	Target	Transaction Type	Purchase Consideration	Percentage Acquired	Equity Value	Enterprise Value	LTM Sales	LTM EBITDA	LTM EBIT	Days Prior to Unaffected	Notes on Deal Attributes / Market Conditions:
Jan 22nd 2018	April 18th 2018	Bacardi	Patron							25.5x		1 7 30	Forbes gives the deal price of 5.1 billion, while Reuters gives a multiple value of 25.5x EBITDA
July 13 2008	November 18th 2008	InBev SA/NV	Anheuser-Busch Cos Inc			100%	13,866	15,747		15.5x			This was from the bloomberg terminal in class, the excel file is saved in the sharepoint
Jan 13th 2014	April 30th 2014	Suntory Holdings Ltd	Beam Suntory Inc							19.8x	23.4x		This was from capiq pro, report is in the sharepoint
October 7th 2024	Pending	Butterfly Equity LLC	Duckhorn Portfolio Inc/The							14.1x			This was from the bloomberg terminal in class, the excel file is saved in the sharepoint
March 30th 2008	July 23rd 2008	Pernod Ricard	V&S Vin & Sprit			100%	8,347	8,914		21.2x	22.9x		

Implied BF.B Enterprise Value Range:	EV/LTM EBITDA	Implied Enterprise Value
High	25.5x	\$30,166
Mean	19.2x	\$22,734
Median	19.8x	\$23,423
Low	14.1x	\$16,692

Appendix – LBO



\$mm unless otherwise noted

Purchase Price Calculation	
Current Share Price	\$29.26
Premium	21.4%
Offer Price	\$35.53
Diluted Shares Outstanding	460
Equity Purchase Price	16,327
Total Debt + Pref + NCI	2,745
Cash	383
ST and LT Investments	0
Enterprise Value	18,689
2025A EBITDA	1,254
2026E EBITDA	1,228
Implied EV / 2025A EBITDA Multiple (LTM Multiple)	14.9x
Implied EV / 2026E EBITDA Multiple (NTM Multiple)	15.2x

Sources and Uses			
<u>Sources</u>	<u>\$mm</u>	<u>x</u>	<u>%</u>
Bank Debt	5,016	4.0x	26.1%
Bridge / Bonds	1,254	1.0x	6.5%
Excess Cash	383	0.3x	2.0%
Sponsor Equity	12,533	10.0x	65.3%
Total Sources	19,186	15.3x	100.0%
<u>Uses</u>			
Equity Purchase Price	16,327	13.0x	85.1%
Retire Existing Debt	2,745	2.2x	14.3%
Minimum Cash	78	0.1x	0.4%
Breakage Costs on Bonds	0	0.0x	0.0%
Transaction Fees	36	0.0x	0.2%
Total Uses	19,186	15.3x	100.0%

Financing Assumptions		
	x	Rate
Total Leverage	5.0x	
Bank Debt (Senior Debt)	4.0x	5.00%
Bonds (Junior Debt)	1.0x	6.00%
Fees:		
Advisory	20	
Bridge	2	0.125%
Bank Debt	13	0.250%
Bonds	2	0.125%
Breakage Costs	0	1.00%

Other Assumptions	
Minimum cash balance	2.00%
Management earn-out at exit	5.00%

Returns Analysis	
LBO Assumptions	
Initial Investment Date	1/31/2026
Initial Equity Investment	12,533
Exit Years After Acquisition	5.0
Exit LTM EBITDA Multiple	15.0x
Enterprise Value at Exit	20,262
Net Debt at Exit	1,934
Equity Value at Exit	18,328
Sponsor Portion	95.00%
Sponsor Equity at Exit	17,411
IRR	6.8%
MOIC	1.4x



Appendix – LBO



	2025A	2026E	2027E	2028E	2029E	2030E
Income Statement - LBO						
Revenue	3,975	3,915	3,996	4,123	4,225	4,318
% growth	-4.9%	-1.5%	2.1%	3.2%	2.5%	2.2%
EBIT	1,167	1,155	1,119	1,175	1,225	1,274
% margin	29.4%	29.5%	28.0%	28.5%	29.0%	29.5%
D&A	87	73	74	76	77	77
% sales	2.2%	1.9%	1.9%	1.8%	1.8%	1.8%
EBITDA	1,254	1,228	1,193	1,251	1,302	1,351
% margin	31.5%	31.4%	29.9%	30.3%	30.8%	31.3%
Interest Expense		0	0	0	0	0
Interest Income		0	0	0	0	0
Earnings Before Taxes		1,155	1,119	1,175	1,225	1,274
Taxes		(271)	(263)	(276)	(288)	(299)
Tax Rate		23.5%	23.5%	23.5%	23.5%	23.5%
Net Income		883	856	899	937	974
	2025A	2026E	2027E	2028E	2029E	2030E
Cash Flow Statement - LBO						
Net Income		883	856	899	937	974
D&A		73	74	76	77	77
Capex		(34)	(120)	(103)	(84)	(86)
% sales		0.9%	3.0%	2.5%	2.0%	2.0%
Change in OWC		29	0	(124)	(71)	(52)
Change in other assets		0	0	0	0	0
Change in deferred revenue		0	0	0	0	0
Change in other liabilities		47	0	4	7	5
Levered Free Cash Flow		998	810	752	865	919



Appendix – LBO



	2025A	2026E	2027E	2028E	2029E	2030E
Debt Paydown Schedule - LBO						
Beginning Cash Balance		78	78	80	82	84
Less: Minimum Cash		(78)	(80)	(82)	(84)	(86)
Plus: Levered FCF (current period)		998	810	752	865	919
Cash Available for Debt Paydown		998	809	750	863	917
Bank Debt						
Beginning Balance		5,016	4,018	3,209	2,459	1,597
Mandatory Paydown		0	0	0	0	0
Optional Paydown		(998)	(809)	(750)	(863)	(917)
Ending Balance	5,016	4,018	3,209	2,459	1,597	680
Interest Rate	5.00%					
Interest Expense		226	181	142	101	57
Cash flow available for bond paydown		0	0	0	0	0
Bonds						
Beginning Balance		1,254	1,254	1,254	1,254	1,254
Mandatory Paydown		0	0	0	0	0
Optional Paydown		0	0	0	0	0
Ending Balance	1,254	1,254	1,254	1,254	1,254	1,254
Interest Rate	6.00%					
Interest Expense		75	75	75	75	75
Total Debt	6,270	5,272	4,463	3,713	2,851	1,934
Total Interest Expense		301	256	217	177	132
Ending Cash Balance	78	78	80	82	84	86
Interest Income on Cash		2	2	2	2	2
Interest Rate	2.50%					



Appendix – LBO



Sponsor Returns - LBO						
	2025A	2026E	2027E	2028E	2029E	2030E
Initial Investment	(12,533)					
Proceeds						17,411
Total	(12,533)	0	0	0	0	17,411
IRR		6.8%				
Credit Statistics - LBO						
Senior Debt / EBITDA	4.0x	3.3x	2.7x	2.0x	1.2x	0.5x
Total Debt / EBITDA	5.0x	4.3x	3.7x	3.0x	2.2x	1.4x
EBITDA / Cash Interest Expense		4.1x	4.7x	5.8x	7.4x	10.2x
(EBITDA-CAPEX) / Cash Interest Expense		4.0x	4.2x	5.3x	6.9x	9.6x
Free Cash Flow / Total Debt		18.9%	18.2%	20.3%	30.3%	47.5%

Appendix – Operating Model



SMM unless otherwise noted				Fiscal Year Ending April 30,							
	2023A	2024A	2025A	Q3 2026A	Q4 2026E	2026E	2027E	2028E	2029E	2030E	2031E
Income Statement											
United States	<u>1,968</u>	<u>1,889</u>	<u>1,765</u>	<u>1,257</u>	420	1,677	1,660	1,693	1,719	1,744	1,771
% growth		-4.0%	-6.6%	NA	NA	-5.0%	-1.0%	2.0%	1.5%	1.5%	1.5%
Developed International	<u>1,178</u>	<u>1,154</u>	<u>1,090</u>	<u>851</u>	206	1,057	1,063	1,079	1,095	1,111	1,128
% growth		-2.0%	-5.5%	NA	NA	-3.0%	0.5%	1.5%	1.5%	1.5%	1.5%
Emerging	<u>824</u>	<u>869</u>	<u>852</u>	<u>748</u>	223	971	1,059	1,133	1,189	1,237	1,274
% growth		5.5%	-2.0%	NA	NA	14.0%	9.0%	7.0%	5.0%	4.0%	3.0%
Travel Retail	<u>170</u>	<u>179</u>	<u>166</u>	<u>131</u>	40	171	176	180	183	187	191
% growth		5.3%	-7.3%	NA	NA	3.0%	3.0%	2.0%	2.0%	2.0%	2.0%
Non-branded and bulk	<u>88</u>	<u>87</u>	<u>102</u>	<u>29</u>	10	39	39	39	39	39	39
% growth		-1.1%	17.2%	NA	NA	-62.2%	0.0%	0.0%	0.0%	0.0%	0.0%
Reported net sales	<u>4,228</u>	<u>4,178</u>	<u>3,975</u>	<u>3,016</u>	899	3,915	3,996	4,123	4,225	4,318	4,402
% growth		-1.2%	-4.9%	NA	NA	-1.5%	2.1%	3.2%	2.5%	2.2%	1.9%
Cost of sales	<u>1,734</u>	<u>1,652</u>	<u>1,632</u>	<u>1,209</u>	357	1,566	1,658	1,690	1,711	1,727	1,761
% of sales	41.0%	39.5%	41.1%	40.1%	39.7%	40.0%	41.5%	41.0%	40.5%	40.0%	40.0%
Gross profit	<u>2,494</u>	<u>2,526</u>	<u>2,343</u>	<u>1,807</u>	542	2,349	2,338	2,432	2,514	2,591	2,641
% gross margin	59.0%	60.5%	58.9%	59.9%	60.3%	60.0%	58.5%	59.0%	59.5%	60.0%	60.0%
Selling, general, and administrative expenses	<u>742</u>	<u>826</u>	<u>744</u>	<u>548</u>	157	705	719	742	760	777	792
% of sales	17.5%	19.8%	18.7%	18.2%	17.4%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%
Advertising expenses	<u>506</u>	<u>529</u>	<u>484</u>	<u>366</u>	104	470	480	495	507	518	528
% of sales	12.0%	12.7%	12.2%	12.1%	11.5%	12.0%	12.0%	12.0%	12.0%	12.0%	12.0%
Other operating expenses	<u>119</u>	<u>(243)</u>	<u>8</u>	<u>(12)</u>	32	20	20	21	21	22	22
% of sales	2.8%	-5.8%	0.2%	-0.4%	3.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%
Total operating expenses as % of sales	32.3%	26.6%	31.1%	29.9%	32.5%	30.5%	30.5%	30.5%	30.5%	30.5%	30.5%
Operating income	<u>1,127</u>	<u>1,414</u>	<u>1,107</u>	<u>905</u>	250	1,155	1,119	1,175	1,225	1,274	1,298
% operating income margin	26.7%	33.8%	27.8%	30.0%	27.8%	29.5%	28.0%	28.5%	29.0%	29.5%	29.5%
operating expenses / revenues %	32.3%	26.6%	31.1%	29.9%	32.5%	30.5%	30.5%	30.5%	30.5%	30.5%	30.5%
Non-recurring items:											
Restructuring and other charges	0	0	<u>60</u>	<u>19</u>							
Gain on business divestiture	0	<u>(267)</u>	0	0							
Total non-recurring items	0	(267)	60	19	0	19	0	0	0	0	0
EBIT	<u>1,127</u>	<u>1,147</u>	<u>1,167</u>	<u>924</u>	250	1,155	1,119	1,175	1,225	1,274	1,298
% margin	26.7%	27.5%	29.4%	30.6%	27.8%	29.5%	28.0%	28.5%	29.0%	29.5%	29.5%
EBITDA	<u>1,207</u>	<u>1,234</u>	<u>1,254</u>	<u>992</u>	255	1,228	1,193	1,251	1,302	1,351	1,376
% margin	28.5%	29.5%	31.5%	32.9%	28.3%	31.4%	29.9%	30.3%	30.8%	31.3%	31.3%



Appendix – Operating Model



	2023A	2024A	2025A	Q3 2026A	Q4 2026E	2026E	2027E	2028E	2029E	2030E	2031E
Key Balance Sheet Schedules											
BB: PP&E and Other intangible assets, net						2,076	2,118	2,164	2,191	2,199	2,209
Capex	<u>183</u>	<u>228</u>	<u>167</u>	<u>81</u>	34	115	120	103	84	86	79
Additions to intangibles (purchases)	0	0	0	0	0	0	0	0	0	0	0
Depreciation and amortization	<u>80</u>	<u>87</u>	<u>87</u>	<u>68</u>	5	73	74	76	77	77	77
EB: PP&E and Other intangible assets, net	<u>2,195</u>	<u>2,064</u>	<u>2,076</u>	<u>2,199</u>	2,118	2,118	2,164	2,191	2,199	2,209	2,211
Capex % of sales	4.3%	5.5%	4.2%	2.7%	2.7%	2.9%	3.0%	2.5%	2.0%	2.0%	1.8%
BB: Other intangible assets, net						981	981	981	981	981	981
Additions to intangibles (purchases)	0	0	0	0	0	0	0	0	0	0	0
Amortization						0	0	0	0	0	0
EB: Other intangible assets, net	<u>1,164</u>	<u>990</u>	<u>981</u>	<u>1,088</u>	981	981	981	981	981	981	981
Accounts receivable		<u>769</u>	<u>830</u>	<u>830</u>	794	794	810	836	856	875	892
Inventories		<u>2,556</u>	<u>2,511</u>	<u>2,511</u>	2,407	2,407	2,549	2,598	2,630	2,655	2,706
Other current assets		<u>265</u>	<u>289</u>	<u>289</u>	376	376	384	396	406	415	423
Operating current assets		3,590	3,630	3,630	3,576	3,576	3,743	3,830	3,892	3,945	4,021
Accounts payable		<u>793</u>	<u>741</u>	<u>741</u>	708	708	750	764	773	781	796
Accrued income taxes		<u>38</u>	<u>27</u>	<u>27</u>	35	35	36	37	38	39	40
Operating current liabilities		831	768	768	743	743	786	801	811	820	836
Operating Working Capital (OWC)		2,759	2,862	2,862	2,833	2,833	2,957	3,028	3,080	3,125	3,186
Long-Term Operating Assets & Liabilities											
Other assets		<u>272</u>	<u>260</u>	<u>260</u>	337	337	344	355	363	371	379
Deferred tax assets		<u>69</u>	<u>47</u>	<u>47</u>	63	63	64	66	68	69	70
Other liabilities		<u>243</u>	<u>187</u>	<u>187</u>	243	243	248	256	262	268	273
Deferred tax liabilities		<u>315</u>	<u>241</u>	<u>241</u>	313	313	320	330	338	345	352
Accrued pension and other postretirement benefits		<u>160</u>	<u>164</u>	<u>164</u>	211	211	216	223	228	233	238



Appendix – WACC



Brown-Forman Corp WACC

Beta Calculation

\$ in billions

Comparable Companies	Levered Beta	Total Debt (TD)	Market Cap (MC)	TD / MC	MTR	Unlevered Beta	Rating
Diageo plc	0.300	18.0	32.7	55%	21.0%	0.209	A-
Pernod Ricard SA	0.500	13.6	16.8	81%	21.0%	0.305	BBB+
Constellation Brands, Inc	0.430	10.7	28.4	38%	21.0%	0.332	BBB
Remy Cointreau SA	0.690	0.8	2.1	36%	21.0%	0.537	NR
Davide Campari-Milano N.V.	0.470	2.70	7.9	34%	21.0%	0.370	N/A
Average				49%		0.351	
Median				38%		0.332	

Selected Target Capital Structure

49%

	Published beta					Unlevered Beta	Relevered Beta
Brown-Forman Corp	0.643	2.7	13.6	49%	23.5%	0.556	0.764



Appendix – DCF



Discounted Cash Flow Analysis

\$mm unless otherwise noted

	Q4 2026E	2027E	2028E	2029E	2030E	2031E
Free Cash Flow Calculation						
EBIT	250	1,119	1,175	1,225	1,274	1,298
Taxes	59	263	276	288	299	305
Tax Rate	23.5%	23.5%	23.5%	23.5%	23.5%	23.5%
EBIAT (NOPAT)	191	856	899	937	974	993
D&A	5	74	76	77	77	77
CAPEX	(34)	(120)	(103)	(84)	(86)	(79)
Change in OWC	29	(124)	(71)	(52)	(45)	(61)
Change in Other assets	(77)	(7)	(11)	(9)	(8)	(7)
Change in Deferred tax assets	(16)	(1)	(2)	(2)	(1)	(1)
Change in Other liabilities	56	5	8	6	6	5
Change in Deferred tax liabilities	72	6	10	8	7	7
Change in Accrued pension and other pc	47	4	7	5	5	5
Unlevered Free Cash Flow	274	694	812	887	929	939
Sales growth	(1.5%)	2.1%	3.2%	2.5%	2.2%	1.9%
EBIT margin	27.8%	28.0%	28.5%	29.0%	29.5%	29.5%
EBITDA margin	28.3%	29.9%	30.3%	30.8%	31.3%	31.3%
OWC % of sales	72.4%	74.0%	73.5%	72.9%	72.4%	72.4%
PPE % of sales	54.1%	54.2%	53.2%	52.1%	51.2%	50.2%
Capex % of sales	3.8%	3.0%	2.5%	2.0%	2.0%	1.8%
Replenishment ratio	7.3x	1.6x	1.4x	1.1x	1.1x	1.0x
Reinvestment rate	-43.1%	18.9%	9.7%	5.3%	4.6%	5.5%

Discounting Model and Implied Share Price Calculation

Discounted Free Cash Flows						
Year Count	0.25	1.25	2.25	3.25	4.25	5.25
Discount Factor	98.2%	91.3%	85.0%	79.0%	73.5%	68.4%
Present value of free cash flows	269	634	690	701	683	642
Terminal Value						
Long term growth rate	1.9%					
Terminal value at YE 2030E						16,888
Implied TV LTM EBITDA multiple						13.0x

Discount Rate

Risk Free Rate	4.88%
Equity Risk Premium	5.00%
Beta	0.843
Ke (cost of equity)	9.09%
Credit rating	A-
Credit spread over risk free rate	0.68%
Cost of debt	5.56%
Marginal Tax Rate	23.50%
Kd (after tax cost of debt)	4.25%
Target debt/equity	48.79%
% debt	32.79%
% equity	67.21%
WACC	7.51%

Implied Share Price Calculation

Total present value of free cash flows	2,977
Present value of terminal value	11,549
Implied Enterprise Value	14,526
2024A EBITDA	1,254
Implied 2024A EBITDA multiple	11.6x
2025E EBITDA	1,228
Implied 2025E EBITDA multiple	11.8x
Cash & cash equivalents	383
ST investments	0
LT investments	0
Total debt	2,745
Preferred Stock	0
Non-controlling interest	0
Implied Equity Value	12,164
Basic shares outstanding	459
Fully diluted shares outstanding	460
Implied share price	\$26.47
Current share price	\$29.26
Premium / (discount) to current share p	(9.5%)



Appendix – DCF Sensitivity Analysis



Sensitivity Analysis				
Implied Share Price				
Discount Rate	LT Growth Rate			
		1.4%	1.9%	2.4%
	7.4%	\$24.84	\$27.11	\$29.82
	7.6%	\$23.83	\$25.93	\$28.43
	7.8%	\$22.89	\$24.83	\$27.14
	8.0%	\$22.00	\$23.81	\$25.95
	8.2%	\$21.17	\$22.85	\$24.83
Premium / (Discount) to Current Share Price of \$29.26				
Discount Rate	LT Growth Rate			
	(9.5%)	1.4%	1.9%	2.4%
	7.4%	(15.1%)	(7.4%)	1.9%
	7.6%	(18.5%)	(11.4%)	(2.8%)
	7.8%	(21.8%)	(15.1%)	(7.2%)
	8.0%	(24.8%)	(18.6%)	(11.3%)
	8.2%	(27.7%)	(21.9%)	(15.1%)
Implied 2024A EBITDA multiple				
Discount Rate	LT Growth Rate			
		1.4%	1.9%	2.4%
	7.4%	11.0x	11.8x	12.8x
	7.6%	10.6x	11.4x	12.3x
	7.8%	10.3x	11.0x	11.8x
	8.0%	9.9x	10.6x	11.4x
	8.2%	9.6x	10.3x	11.0x
Implied 2025E EBITDA multiple				
Discount Rate	LT Growth Rate			
		1.4%	1.9%	2.4%
	7.4%	11.2x	12.1x	13.1x
	7.6%	10.8x	11.6x	12.6x
	7.8%	10.5x	11.2x	12.1x
	8.0%	10.2x	10.8x	11.6x
	8.2%	9.8x	10.5x	11.2x



Appendix – Segment Analysis



	2023A	2024A	2025A	Q3 2026A
Segment Analysis				
Segment as % Total Sales				
<i>United States as % of sales</i>	46.5%	45.2%	44.4%	41.7%
<i>Developed International as % of sales</i>	27.9%	27.6%	27.4%	28.2%
<i>Emerging as % of sales</i>	19.5%	20.8%	21.4%	24.8%
<i>Travel Retail as % of sales</i>	4.0%	4.3%	4.2%	4.3%
<i>Non-branded and bulk as % of sales</i>	2.1%	2.1%	2.6%	1.0%
Historical Product Segment Analysis				
Whiskey	<u>2,915</u>	<u>2,832</u>	<u>2,828</u>	<u>2,227</u>
<i>% growth</i>		-2.8%	-0.1%	
<i>% segment operating margin</i>	68.9%	67.8%	71.1%	73.8%
Ready-to-Drink	<u>509</u>	<u>520</u>	<u>491</u>	<u>412</u>
<i>% growth</i>		2.2%	-5.6%	
<i>% segment operating margin</i>	12.0%	12.4%	12.4%	13.7%
Tequila	<u>320</u>	<u>306</u>	<u>262</u>	<u>189</u>
<i>% growth</i>		-4.4%	-14.4%	
<i>% segment operating margin</i>	7.6%	7.3%	6.6%	6.3%
Non-branded and bulk	<u>88</u>	<u>87</u>	<u>102</u>	<u>29</u>
<i>% growth</i>		-1.1%	17.2%	
<i>% segment operating margin</i>	2.1%	2.1%	2.6%	1.0%
Rest of portfolio	<u>396</u>	<u>433</u>	<u>292</u>	<u>159</u>
<i>% growth</i>		9.3%	-32.6%	
<i>% segment operating margin</i>	9.4%	10.4%	7.3%	5.3%



Appendix — M&A Analysis



Market Data	Acquirer	Target
Company Name	Pernod Ricard	Brown-Forman
Ticker	RI.PA	BF-A
Unaffected Share Price	\$75.56	\$29.26
Price Date	12-Apr-26	12-Apr-26
Offer Premium	NA	21.4%
Offer Price	NA	\$35.53

Share Information	Pernod Ricard	Brown-Forman
No. Shares - Basic	252.3	458.7
Dilution	0.4	0.8
No. Shares - Diluted	252.7	459.5

Deal Assumptions	
% Stock Consideration	60.0%
% Debt and Cash Consideration	40.0%
Advisory Fees (% of Acquisition EV)	1.00%
Acquirer Marginal Tax Rate	25.0%
Target Marginal Tax Rate	23.5%
Interest on Acquisition Debt Pre-tax	5.3%
Interest on Acquisition Debt Post-tax	3.9%
Interest on Acquirer Cash Pre-tax	2.6%
Interest on Acquirer Cash Post-tax	2.0%
Yearly Run-rate Synergies Pre-tax	310.0
Exchange rate (Euro/USD)	1.2

Valuation	Pernod Ricard	Brown-Forman
Unaffected Market Cap	19,094.5	13,446.4
Equity Purchase Price		16,327.0
Net Debt	13,154.9	2,362.0
Unaffected Enterprise Value	32,249.4	15,808.4
Acquisition Enterprise Value		18,689.0

Sources and Uses of Funds		
Equity Purchase Price (X% of BF-A)	16,327.0	
Advisory Fees	186.9	
Total Uses of Funds	16,513.9	
Cash on Hand	186.9	1.1%
Debt Issuance	6,530.8	39.5%
Stock Issuance	9,796.2	59.3%
Total Sources of Funds	16,513.9	100.0%

Income Statement Information						
	Pernod Ricard			Brown-Forman		
	2025A	2026E	2027E	2025A	2026E	2027E
Sales	11,083.5	11,251.8	11,324.4	3,975.0	3,914.9	3,995.9
EBITDA	3,381.5	3,397.1	3,441.9	1,254.0	1,227.5	1,193.0
EBIT	3,023.4	2,902.9	2,956.7	1,167.0	1,154.9	1,118.9
EPS - Diluted	\$6.58	\$6.87	\$7.09	\$1.63	\$2.11	\$2.44



Appendix — M&A Analysis



Combo Shares Calculations		
No. Shares - Acquirer	252.7	66.1%
No. New Shares	129.6	33.9%
No. Shares - Combo	382.4	
Exchange Ratio	0.2821x	

Combo EPS Calculation	2026E	2027E
+ Net Income - Pernod Ricard	1,736.1	1,791.7
+ Net Income - Brown-Forman	969.6	1,121.3
- Equity income from BF-A	0.0	0.0
+ Synergies post-tax	237.2	237.2
- Interest on Acquisition Debt post	(257.2)	(257.2)
- Interest on Acquisition Cash post	(3.6)	(3.6)
= Combo Net Income	2,682.1	2,889.3
Combo EPS	\$7.01	\$7.56
Acquirer EPS	\$6.87	\$7.09
Accretion (Dilution) %	2.1%	6.6%

Credit Impact	Pernod Ricard Q2 2026	Brown-Forman Q2 2026	Adjustments	Pro Forma Q2 2026
Cash and Financial Assets	2,815.5	383.0	(186.9)	3,011.7
Financial Debt	15,970.4	2,745.0	6,530.8	25,246.2
Total Debt	15,970.4	2,745.0		25,246.2
Net Debt	13,154.9	2,362.0		22,234.6
Total Debt / LTM EBITDA	4.7x	2.2x		5.4x
Net Debt / LTM EBITDA	3.9x	1.9x		4.8x

SENSITIVITY ANALYSIS					
Offer Premium	2026 EPS Acc/Dil	Additional Breakeven Synergies	2027 EPS Acc/Dil	Breakeven Synergies	Net Debt to EBITDA
0%	4.1%	0.0	4.4%	0.0	3.4 x
10%	2.7%	0.0	3.0%	0.0	3.5 x
20%	1.4%	0.0	1.7%	0.0	3.6 x
30%	0.0%	0.0	0.3%	0.0	3.7 x
40%	(1.3%)	189.6	(1.0%)	154.5	3.8 x
50%	(2.6%)	381.2	(2.3%)	360.1	3.9 x
60%	(3.9%)	572.8	(3.5%)	565.8	4.0 x
70%	(5.1%)	764.6	(4.7%)	771.7	4.1 x
80%	(6.3%)	956.5	(5.9%)	977.6	4.2 x
90%	(7.5%)	1,148.4	(7.1%)	1,183.6	4.4 x
100%	(8.6%)	1,340.4	(8.2%)	1,389.7	4.5 x



Appendix — PV of Synergies



NPV of Synergies		Year 1	Year 2	Year 3	Year 4	Year 5
\$mm unless otherwise noted						
Target unaffected market cap	\$13,446					
Target equity purchase price	16,327					
Total premium paid	2,881					
WACC	7.5%					
Risk premium	2.0%					
Discount rate	9.5%					
Growth	1.90%					
Pre-tax synergies		\$78	\$155	\$310	\$316	\$322
MTR		23.5%	23.5%	23.5%	23.5%	23.5%
Post-tax synergies		59	119	237	242	246
Terminal value						3,299
Mid-year discounting model		0.5	1.5	2.5	3.5	4.5
Discount factor		96%	87%	80%	73%	66%
PV of synergies		\$57	\$103	\$189	\$176	\$164
Sum of PV of synergies	689					
Present value of terminal value	2,192					
Total PV of synergies	\$2,881					
Less: premium paid	2,881					
Value created / destroyed	\$0					
Synergies / target share	\$6.27					



Appendix—AVP



Analysis at Various Prices

\$MM unless otherwise noted

Offer Price (\$)	Offer Premium	Equity Value	Acquisition EV	EV/EBITDA			P/E		
				2025A	2026E	2027E	2025A	2026E	2027E
29.3	0%	13,446	15,808	12.6 x	12.9 x	13.3 x	18.0 x	13.9 x	12.0 x
30.7	5%	14,825	17,187	13.7 x	14.0 x	14.4 x	18.8 x	14.6 x	12.6 x
32.2	10%	16,270	18,632	14.9 x	15.2 x	15.6 x	19.7 x	15.3 x	13.2 x
33.6	15%	17,783	20,145	16.1 x	16.4 x	16.9 x	20.6 x	15.9 x	13.8 x
35.1	20%	19,363	21,725	17.3 x	17.7 x	18.2 x	21.5 x	16.6 x	14.4 x
36.6	25%	21,010	23,372	18.6 x	19.0 x	19.6 x	22.4 x	17.3 x	15.0 x
38.0	30%	22,724	25,086	20.0 x	20.4 x	21.0 x	23.3 x	18.0 x	15.6 x
Trading Comparables - Median				10.7 x	10.2 x	9.9 x	18.7 x	13.1 x	12.5 x
Precedent Transactions - Median				19.8 x	NA	NA	NA	NA	NA
Pernod Ricard				9.5 x	9.5 x	9.4 x	11.5 x	11.0 x	10.7 x



Appendix — Contribution Analysis



Contribution Analysis

\$MM unless otherwise noted

	SALES			EBITDA			NET INCOME		
	2025A	2026E	2027E	2025A	2026E	2027E	2025A	2026E	2027E
Pernod Ricard	11,084	11,252	11,324	3,382	3,397	3,442	1,663	1,736	1,792
% contribution	73.6%	74.2%	73.9%	72.9%	68.8%	69.6%	68.9%	59.0%	56.9%
Brown-Forman	3,975	3,915	3,996	1,254	1,228	1,193	749	970	1,121
% contribution	26.4%	25.8%	26.1%	27.1%	24.9%	24.1%	31.1%	32.9%	35.6%
Synergies	0	0	0	0	310	310	0	237	237
% contribution	0.0%	0.0%	0.0%	0.0%	6.3%	6.3%	0.0%	8.1%	7.5%
Pro Forma Combined	15,059	15,167	15,320	4,636	4,935	4,945	2,412	2,943	3,150

